

represent is amazingly diverse—from traditional domains like IT, Internet, media, outsourcing and retail to newer domains like healthcare, cleantech, biotech and agribusiness. And the fundamentals of the Indian economy remain solid. The Indian Internet audience grew to 28 million users by April 2008, a 27 per cent increase from the previous year. The mobile subscriber industry in India continues to be on a tear, reaching 315 million subscribers by September 2008, with 10 million new subscribers being added every month. And despite the economic slowdown, the organised retail market continues to hold immense opportunity as it still stands at only 4 per cent of the total retail market. The silver lining to the devaluation of the Indian rupee is that revenues for start-up companies focused on the US and Europe are almost 25 per cent higher in rupee terms than they were six months ago. Clearly, there is no shortage of opportunities in the market. And there is no shortage of talented and passionate entrepreneurs who are pursuing these opportunities.

However, entrepreneurs do need to recalibrate their strategies for difficult economic times, as investment capital becomes scarce and the marketplace slows down. They need to think differently about their markets, their offerings, their approach to funding, and their operations. Here are some tips for surviving and thriving in difficult economic times:

**GROW ORGANICALLY** Think about how you can grow your start-up company with minimal or no external capital. This might sound difficult, but on deeper reflection, investment capital is usually required for two reasons: to fund product development and to get big fast in a competitive race. I advise entrepreneurs to begin with project-based services that can provide quick revenues and lessen the cash burn, and then gradually invest in product development as they generate resources organically. The mantra is “servicise to learn, and then productise to earn”. Further, in difficult economic times, getting big fast may not be essential, because the race will be won not by those who run the fastest, but by those who last the longest. So you can afford to slow down and pace yourself to run a marathon, instead of burning out quickly in a frantic sprint fuelled by venture capital.

**SHARPEN YOUR VALUE PROPOSITION** As customers become more demanding, you can’t afford to be wishy-washy about why they should be doing business with your company. You need to communicate your value proposition clearly, crisply and concisely. What benefits do you offer? When,

where and who should be using your products? What situations or scenarios have you optimised your offerings for? How are your offerings better than competing alternatives, including the alternative of not buying anything at all? How can you make it easier for customers to do business with you? How can you reduce their perceived risk of using your products or doing business with a small company? These are questions you should pay close attention to.

**DIVERSIFY YOUR MARKETS** For a start-up company, it is a good idea not to have all your eggs in one basket. If you focus exclusively on one market, you are more vulnerable to sharp downturns in that market or in currency fluctuations. For instance, the US market looked very lucrative a few years ago for Indian IT companies, but an over-dependence on the US is now hurting them. As an entrepreneur, think about how you can make your products and services relevant to the Indian market as well as to developed markets.

**VARIABLEISE YOUR ASSETS** Fixed assets are the bane of start-up companies. You need loads of capital to acquire fixed assets, and they greatly limit your flexibility once you have acquired them. So, whether it is real estate, computers, software, office equipment or even staffing, think ten times before you put a single rupee into the ground. Instead of buying servers and setting up data centres, use virtual “cloud computing” services like. Rent your office space, your office furniture and your office staff. Use part-timers where you can to reduce your burn rate. I have seen start-up companies even time-share their executive management—hiring a part-time CFO or CMO until they have the resources and the need for highly-paid executive talent. Variablising your assets makes you leaner and more agile, putting you in a better position to ride out the storm.

The spirit of entrepreneurship lives on in times good and bad. Entrepreneurship may thrive in difficult economic times, because entrepreneurs need to be more disciplined, more focused, and less distracted by competition. If entrepreneurs can adapt their strategies to position themselves for the downturn, the same economic headwinds that are slowing them down can become the wind at their back, propelling them to the Promised Land.

---

*The author is McCormick Tribune Professor of Technology and director, Centre for Research in Technology and Innovation, Kellogg School of Management.*

AN ENTREPRENEUR SHOULD NOT FOCUS EXCLUSIVELY ON ONE MARKET. ONE MUST THINK HOW THE PRODUCTS AND SERVICES CAN BE RELEVANT TO THE INDIAN MARKET AND THE DEVELOPED WORLD.